SUPREME COURT OF INDIA

APPELLATE JURISDICTION · DIVISION BENCH (2 JUDGES)

Criminal Appeal No. 712 of 2013

CNR: SCIN010007122013

Date: 03 May, 2013

Citation: (2013) 6 SCC 800

CORAM: Hon'ble T.S. Thakur & Gyan Sudha Misra, JJ.

Petitioner: Sarabjit Singh & Another

- VERSUS -

Respondent: State of Punjab & Another

DOMAIN: COMMERCIAL LAW & CHEQUE DISHONOR

STATUS: Good Law (Binding Commercial Precedent)

JUDICIAL RATIO DECIDENDI & OPERATIVE HOLDING:

The primary object of Section 138 NI Act is compensatory rather than punitive. Once the cheque amount is paid in full with reasonable costs, compounding under Section 147 is permissible at any stage, even after final conviction.

STATUTES APPLIED: Section 138 NI Act, Section 147 NI Act

DISPOSITION: CONVICTION SET ASIDE PURSUANT TO FULL COMPOUNDING

EXECUTIVE RATIO SUMMARY:

Affirmed that offences under Section 138 NI Act can be compounded even after conviction and appellate confirmation, if the complainant is fully compensated and satisfied.

LEXGUARD CRYPTOGRAPHIC VERIFICATION SEAL · SECTION 65B ADMISSIBLE

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